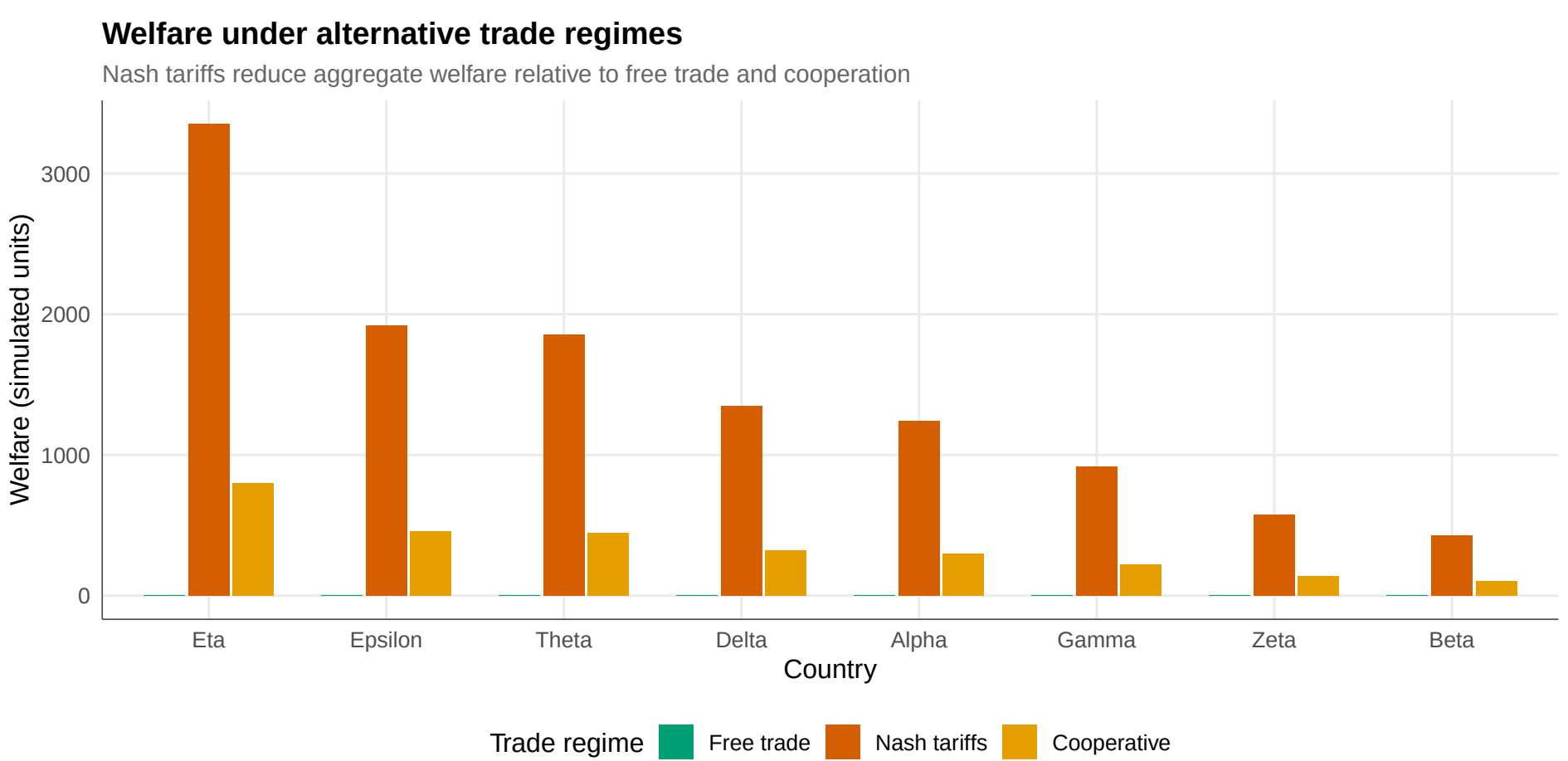
Welfare under alternative trade regimes
Nash tariffs reduce aggregate welfare relative to free trade and cooperation
Welfare (simulated units)
3000
2000
1000
0
Eta
Epsilon
Theta
Delta
Alpha
Gamma
Zeta
Beta
Country
Trade regime
Free trade
Nash tariffs
Cooperative